

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$277.51 ▲ 0.03%	12M Price Target \$320.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.99T
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AMZN: Perplexity Loss Stings, But AI Story Still Cooking

WHAT HAPPENED

- Stock is basically flat today (\$277.51, +0.03%) but sitting at 89% of its 52-week range after a monster earnings-week rally (jumped from \$235 to \$284 in three sessions). Translation: the market already re-rated this thing higher on earnings — now it's digesting.
- Two competing headlines: (1) Andy Jassy said something bullish about AI adoption that Motley Fool is hyping, and (2) the 9th Circuit just overturned Amazon's injunction against Perplexity AI — meaning Perplexity's AI browser agents can keep scraping/shopping on Amazon. That's a real negative for Amazon's control over its retail moat.

WHY IT MATTERS

The Perplexity ruling matters more than people realize — it basically says AI agents that shop on your behalf are legal, and Amazon can't block them. Short-term that's fine, but long-term it means the "front door" of e-commerce could shift from Amazon.com to whichever AI assistant you use, and Amazon becomes plumbing rather than the destination. Counterbalancing that: Jassy's AI commentary suggests AWS is seeing the AI capex wave translate into actual revenue, which is the single biggest bull case here. Net-net, the stock is pausing because the market is weighing "AWS is accelerating" against "our retail moat just got legally punctured" — and honestly, AWS is bigger for the stock price than retail is.

POLICY & POLITICAL WATCH

Three things on the radar: (1) The FTC's antitrust case against Amazon's retail practices is still grinding through courts — a loss could force behavioral remedies on Prime bundling. (2) AI regulation: the administration has been generally pro-AI-buildout (good for AWS), but there's bipartisan chatter about "AI agent liability" frameworks — the Perplexity ruling will accelerate that debate. (3) Tariffs on Chinese goods remain a live issue for Amazon's third-party marketplace, where a big chunk of sellers source from China — any escalation squeezes seller margins and eventually Amazon's take rate.

IS IT EXPENSIVE?

At ~\$2.99T market cap and roughly 40x forward earnings, you're paying \$40 for every \$1 of next year's profit — that's a premium, but AWS alone probably justifies half the market cap and it's growing 19%+ with expanding margins. Compared to Microsoft (~32x) and Google (~22x), Amazon looks pricier, but it has the fastest-growing high-margin business of the three right now. Fair, not cheap — you're buying quality, not a bargain.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

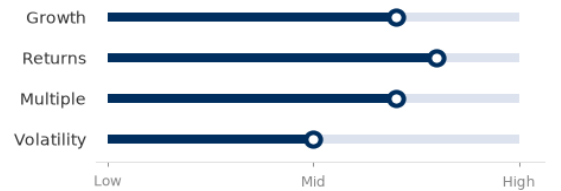
AI-Generated Pre-Market Brief | 2026-08-05 14:47 UTC

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Key Data

Price (USD)	\$277.51
12M Price Target	\$320.00
Upside / (Downside)	+15.3%
Market Cap	\$2.99T
FY2026E Revenue	\$745M
FY2027E Revenue	\$820M
FY2026E EPS	\$6.85
FY2027E EPS	\$7.90
Fwd P/E	40.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$295.00	\$282.00	\$260.00
6 Months	\$320.00	\$295.00	\$250.00
1 Year	\$345.00	\$320.00	\$240.00
2 Years	\$400.00	\$355.00	\$230.00
5 Years	\$550.00	\$450.00	\$220.00
10 Years	\$850.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+7% over 5 days) — this is where Amazon lives, and the sector move suggests money is betting on a resilient consumer plus AI-driven productivity gains. Industrials (+6% 5-day) also ripping, which usually means capex/infrastructure themes are in favor — good for AWS.

COOLING OFF: Healthcare is choppy (-1.3% over 5 days) and Comm Services is barely moving — investors are rotating OUT of defensives and INTO growth/cyclicals.

ROTATION WATCH: Money is flowing into anything AI-infrastructure-adjacent, which is why AMZN went from \$235 to \$284 in three days. The rotation looks like: out of bonds/defensives, into AI + consumer cyclicals.

RELATED PLAY: If you believe the AI agent thesis from the Perplexity ruling, the winners are the pick-and-shovel names — data center REITs (DLR, EQIX) and semiconductor infrastructure. If Amazon's retail moat weakens, Shopify (SHOP) is the second-order winner because independent merchants become more valuable to AI agents.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Same AWS/Azure AI infrastructure tailwind, arguably better positioned on enterprise AI adoption.
- GOOGL (Alphabet): AI search transition risk is real but they own the front-end that AI agents may live inside.

AMZN CONTEXT: AMZN is leading its peer group right now — the 20% pop in a week suggests it was the "catch-up trade" among Mag 7 names after lagging earlier in 2026. That kind of ripping move usually needs a digestion period, which is exactly what today's flat tape looks like. Not a reason to sell, but I wouldn't chase here — wait for a pullback.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio (core holding)

Entry Points: \$265-275 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth drops below 15% or FTC forces structural retail/cloud separation

Hedging: Small put position 5% out-of-the-money, or pair with a short in a pricier cloud peer